



Business Analysis & Valuation Report



Company Overview

Introduction

Shree Cement Ltd was incorporated in the year 1979. The company is presently promoted by Calcutta-based industrialists Hari M Bangur. The Company is one of the largest cement producers in Rajasthan (Beawar) and is the largest single location manufacturer in Northern India. The company's manufacturing operations are spread over North and East India across six states. The company has a consolidated cement production capacity of 46.40 million tonnes per annum(MTPA) and a power generation capacity of 888.6 MW. During the year 1994-95, the company undertook new activities in the field of leasing and hire purchase. The company made a tie up with Christian Pfeiffer & Company, Germany, for installing a horizontal impact crusher to pre-crush clinker before using it in the cement mill for upgrading cement output and save energy. Also, they made a tie up with IKN, Germany, for incorporating their KIDS system in the clinker cooler.

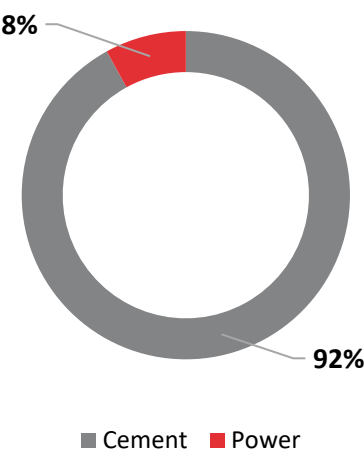
Business Presence

The Company is one of the largest cement producers in Rajasthan (Beawar) and is the largest single location manufacturer in Northern India. Their manufacturing units are located at Beawar, Ras, Khushkhhera Suratgarh and Jobner (Jaipur) in Rajasthan, Laksar (Roorkee) in Uttarakhand, Aurangabad in Bihar, Panipat in Haryana, Baloda Bazar in Chhattisgarh and Bulandshahr in Uttar Pradesh. The company is headquartered in Kolkata, India.

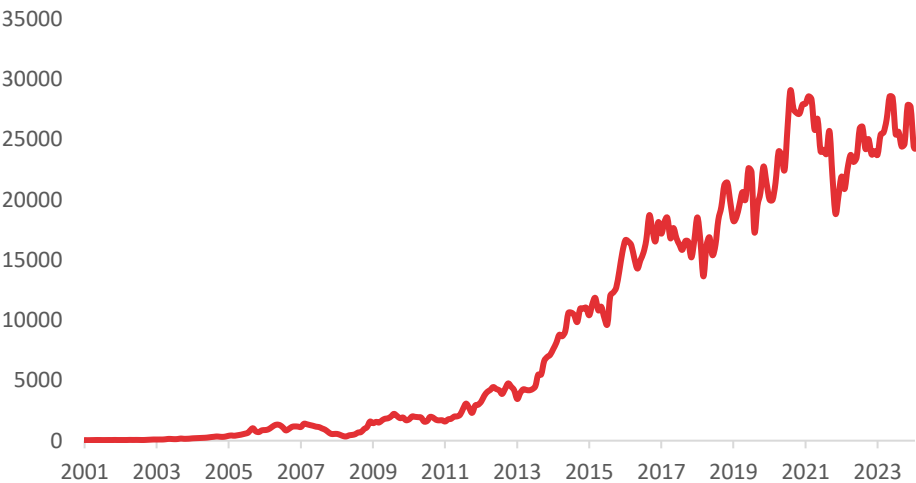
Key Products/Brands

Company have three brands under their portfolio, namely Shree Ultra Jung Rodhak Cement, Bangur Cement and Rockstrong Cement. The company produces Autoclaved Aerated Concrete (AAC) Blocks – a lightweight, precast building material with high insulating capacities.

Product Wise Revenue Breakup



Share Price Performance



Global Economy

Overview

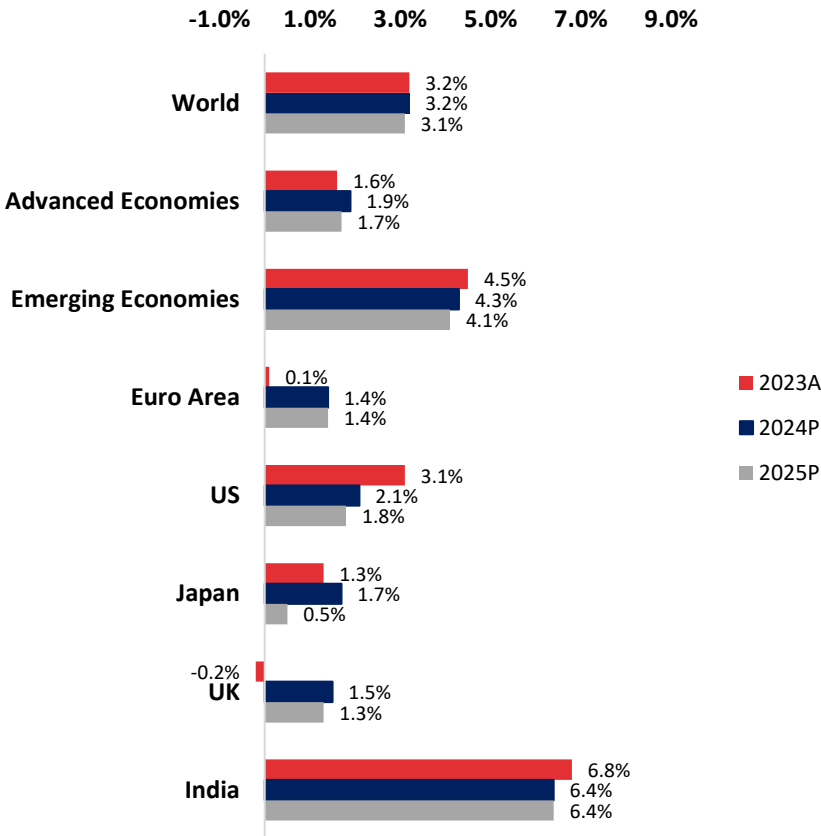
The global economy has shown unexpected resilience, despite significant interest rate hikes by central banks to maintain price stability. In 2023, the global economy faced various challenges but managed to demonstrate resilience with a 3.1% GDP growth over the past year. This growth was supported by several factors, including improvements in labor market conditions, robust trade activities, stable commodity markets, and decreasing inflation rates. Both advanced and developing economies exceeded expectations, making significant contributions to the overall economic performance. Risks to the global outlook are now broadly balanced. On the downside, new price spikes stemming from geopolitical tensions, including those from the war in Ukraine and the conflict in Gaza and Israel, could, along with persistent core inflation where labor markets are still tight, raise interest rate expectations and reduce asset prices.

The world economy is to continue growing at 3.2% during 2024 and 2025, at the same pace as in 2023. A slight acceleration for advanced economies—where growth is expected to rise from 1.6% in 2023 to 1.7% in 2024 and 1.8% in 2025. While Emerging & Developing economies posted growth of 4.3% in 2023, and a modest slowdown of 4.2% in both 2024 and 2025. With the eurozone expected to rebound from sluggish performance.

With the eurozone expected to rebound from sluggish performance, with global headline inflation expected to decrease to 5.8% in 2024 and 4.4% in 2025. While uncertainties persist, concerted efforts to manage inflation and fiscal policies are crucial for sustaining economic stability and fostering long-term growth.

Source: IMF WEO, Company Analysis

Global GDP Projections(%)



Source: IMF WEO

Indian Economy

Overview

The Indian Economy robust growth of 7.6% in FY24. Surpassing the previous fiscal year. Strong domestic demand, Working-age population favorable government policies and growth trends across critical sector drove this increase. The construction sector has growth of 9.6% in FY24 compared to previous year, contributing significantly to the overall GDP expansion.

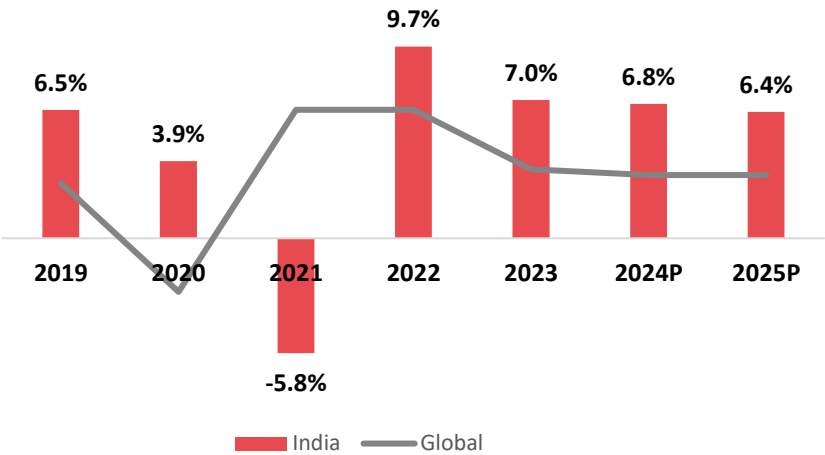
Despite the global economic challenges viz. Uncertainty from adverse geopolitical developments. GDP growth is expected to reach 7% in FY25, as per RBI MPC’s GDP forecast. Sustained efforts towards infrastructure development and economic reforms are crucial for maintaining long-term growth momentum.

The Indian economy exhibits robust fundamental policies by Reserve Bank of India (RBI), which plays a key role in maintaining stability through its adept monetary policy framework. By carefully managing interest rates and liquidity, the RBI aims to control inflation while fostering sustainable economic growth. It ensures a resilient financial sector, contributing to overall economic stability.

In terms of inflation, retail inflation eased to 4.85% in March 2024, according to the consumer price index (CPI) data, reflecting stable price levels and conducive conditions for sustained economic growth. This moderation aligns with the Reserve Bank of India’s (RBI) stance of curbing inflation by maintaining status quo on key policy rates, emphasizing the importance of achieving the target of 4% inflation on a long-term basis.

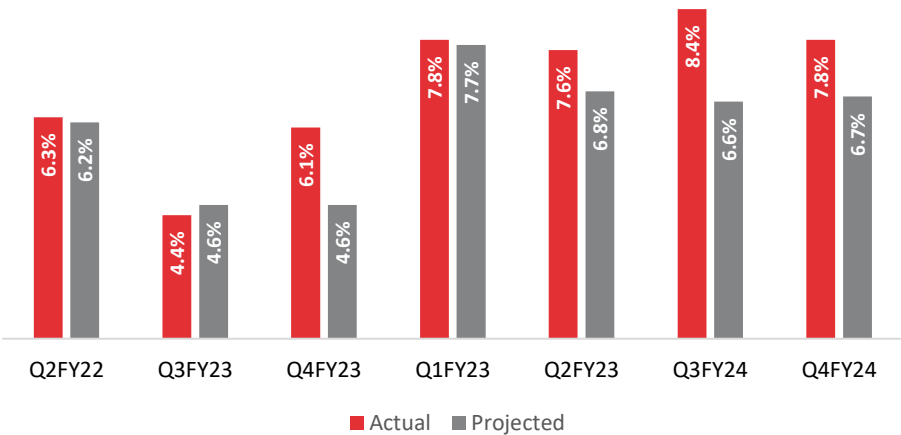
Source: IMF WEO, PIB Govt, Company Analysis

India vs Global GDP Growth (%)



Source: Statista

India GDP Quarterly Growth - Actual vs Projected



Source: Investing.com

Cement Industry - Indian

Overview

In 2023, the Indian cement market was valued at 3.96 billion tonnes and is expected to grow to 5.99 billion tonnes by 2032, with an annual growth rate of 4.7% from 2024 to 2032. In the financial year 2023, India's cement production reached 374.55 million tonnes, growing by 6.83% compared to the previous year. This growth is expected to continue at 7-8% in FY24, driven by infrastructure investments and large residential projects.

India's cement industry, the second-largest in the world, holds over 8% of global capacity, mainly due to infrastructure expansions. Cement consumption in India is projected to grow at an annual rate of 5.68% from FY16 to FY22. According to CRISIL Ratings, the industry plans to increase its capacity by 150-160 million tonnes between FY25 and FY28, building on the 119 million tonnes added annually over the past five years, to meet the rising demand for infrastructure and housing.

Despite a pricing downturn at the beginning of the fiscal year, major cement companies expect a modest volume growth of 6-7% this year. Cement consumption is projected to reach 450.78 million tonnes by the end of FY27.

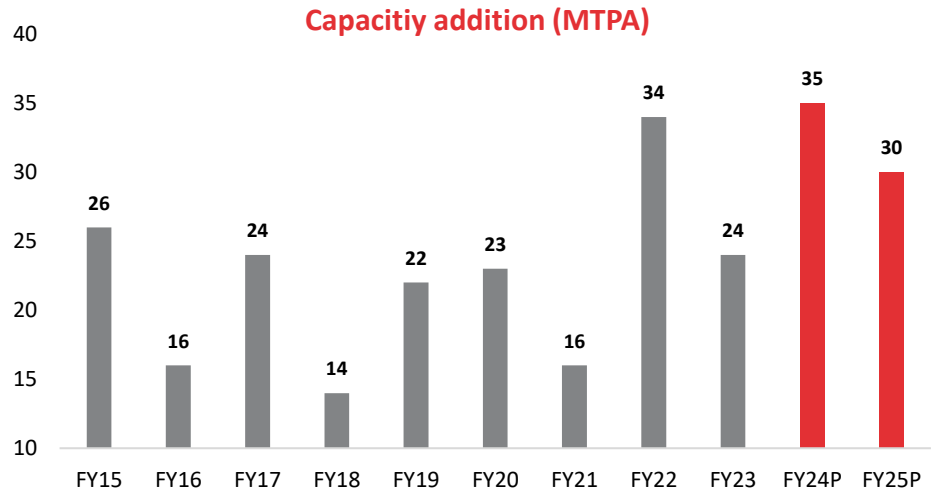
Indicator	FY25 Projection
GDP growth rate	~7-8%
Housing demand growth	8-10%
Capital expenditure	₹11.11 lakh crore

Source: IBEF, ICRA, Company Analysis

Historically, the demand for cement in India has grown at 1.1-1.2 times the rate of GDP growth over the past 30 years. This growth rate varies depending on industry-specific factors such as demand, supply, and pricing power. Despite the challenges posed by COVID-19, the cement industry has added 113 million tonnes of capacity over the last four years, reaching approximately 585 million tonnes per year.

As the country prepares for rapid economic growth and urbanisation, there is a rising demand for robust infrastructure and contemporary living spaces. Upliftment of Tier-II cities and rural areas is also fuelling the need for housing, transportation networks, healthcare facilities, and educational institutions.

The substantial tripling of capital expenditure over the past four years has significantly amplified India's economic growth and job creation. As a result, there has been an 11.1% increase in the capital expenditure outlay for the next year, amounting to ` 11,11,111 crores. This figure represents 3.4% of the GDP.



Source: Crisil.com



Shree Cement – Growth Story

Capacity Expansion

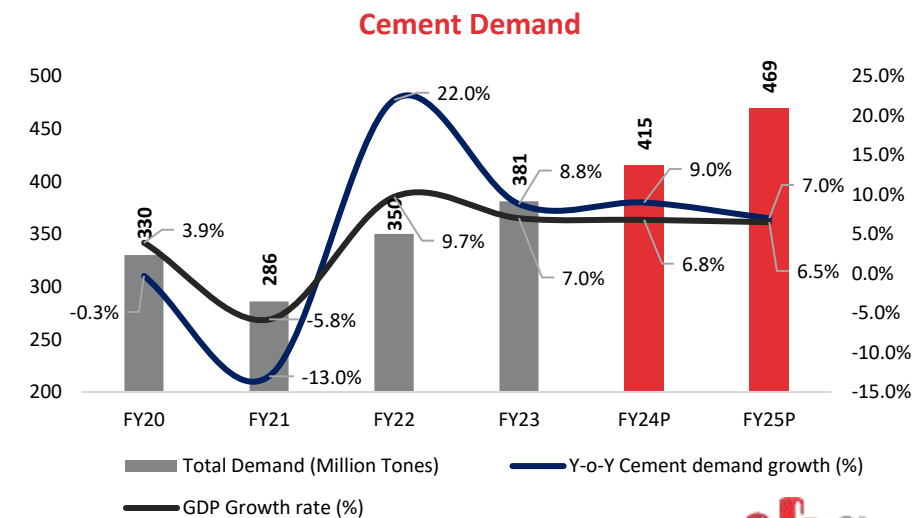
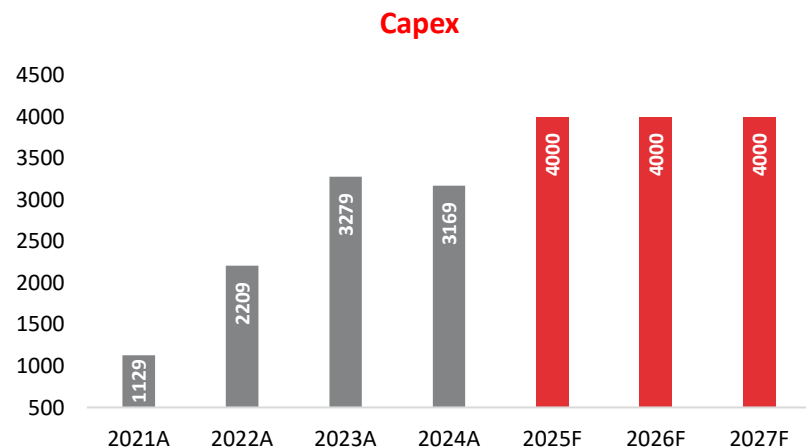
Historically, the company has made significant investments in growth, with capital expenditures of approximately ₹1000 crore in 2018, ₹2600 crore in 2019, ₹1000 crore in 2022, and ₹2070 crore in 2024. The company aims to achieve a production capacity of around 75 million tons by March 2027 and over 80 million tons by March 2028. To support this goal, the company has planned a total capital expenditure of ₹12,500 crore for the next three years. For the fiscal year 2024-25, the company has committed to spending about ₹4000 crore, with an asset turnover ratio of 0.7x. Most of this investment will go towards expanding cement production capacity through greenfield projects, with an additional ₹600 crore allocated for a 3 million tons per annum (MTPA) expansion at the Ras facility.

The current macroeconomic environment in the country, along with government initiatives, is supporting growth in the cement sector. To capitalize on this opportunity, the company is accelerating its growth plans. It is expected to spend ₹4000-4500 crore each year for the next three years to add a total of 18 million tons of capacity from March 2024 to March 2027, which translates to an additional 6 million tons of capacity each year.

Government spending

The government's commitment is evident through its allocation of 3.3% of GDP to the infrastructure sector in the fiscal year 2024, Going into FY 2024-25, the demand outlook for cement industry continues to be strong as structurally all demand drivers viz. infra, housing, and private capex show positive direction. Growth in Infrastructure development spending is expected to continue with government focusing on its flagship schemes, such as PM Gati Shakti, National Infrastructure Pipeline and rising investments in roads, railways, metros, airports, and irrigation projects.

This will continue to drive healthy infrastructure-led demand growth. Government Impetus to PLI scheme and Atmanirbhar Bharat, focus on multimodal logistics, warehousing, etc. are expected to support demand from the industrial segment. On the housing demand, the entire real estate sector is witnessing a demand revival. This apart, Government focus on housing for all and increasing outlays for PMAY scheme indicates strong demand growth for cement from housing segment. All in all, the outlook for cement deand looks promising .



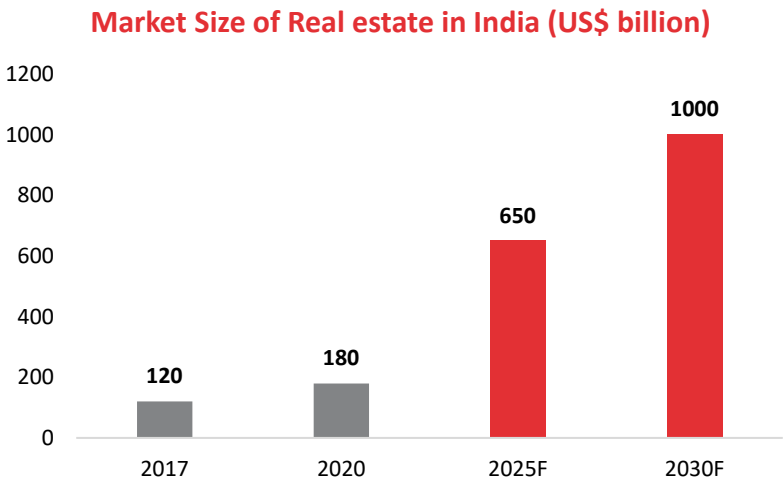
Source: Careratings.com, Company analysis

Shree Cement – Growth Story

Real estate Sector

By 2040, the real estate market will grow to Rs. 65,000 crore (US\$ 9.30 billion) from Rs. 12,000 crore (US\$ 1.72 billion) in 2019. Real estate sector in India is expected to reach US\$ 1 trillion in market size by 2030, up from US\$ 200 billion in 2021 and contribute 13% to the country’s GDP by 2025. Retail, hospitality, and commercial real estate are also growing significantly, providing the much-needed infrastructure for India's growing needs. India’s real estate sector is expected to expand to US\$ 5.8 trillion by 2047, contributing 15.5% to the GDP from an existing share of 7.3%.

According to the Economic Times Housing Finance Summit, about three houses are built per 1,000 people per year compared with the required construction rate of five houses per 1,000 population. The current shortage of housing in urban areas is estimated to be ~10 million units. An additional 25 million units of affordable housing are required by 2030 to meet the growth in the country’s urban population.



Source: IBEF

Urban Housing

The government plans to introduce a scheme incentivizing individuals residing in rented houses and unauthorized colonies to purchase or construct their own homes, thereby fostering urban housing demand.

To support this initiative, the allocation to the Pradhan Mantri Awas Yojana (Urban) has been augmented by 18% from the FY24 revised estimate (RE) to ₹26,170 crore for FY25, providing a significant impetus to urban housing initiatives.

Additionally, robust residential demand in the top eight cities during the latter half of CY23, exhibiting a 12% year-on-year growth, underscores the buoyant demand in urban areas, further bolstering the need for cement.

Rural Housing

The government’s announcement of an additional two crore houses under the Pradhan Mantri Awas Yojana (Rural) over the next five years signifies a monumental step towards addressing housing needs in rural areas.

The allocation to the Pradhan Mantri Awas Yojana (Rural) has witnessed a substantial increase of 70% from the FY24 revised estimate (RE) to ₹54,500 crore for FY25, reflecting the government’s commitment to bolstering rural housing infrastructure.

With the completion of 2.5 crore houses over the past eight years, achieving 87% of the total target, the recent announcement of additional houses is expected to stimulate growth in the Indian infrastructure and cement sectors

Source: Company Analysis

Financials

Revenue

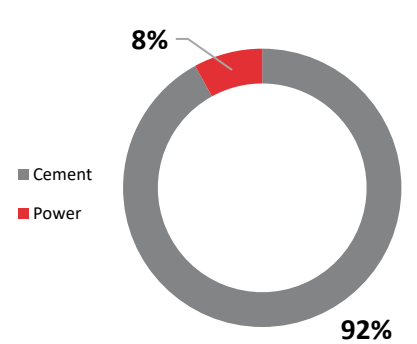
The Company Has Posted Revenue of INR 20521 Cr in CY2024. The Revenue has been Grown at a CAGR of 14.8% and 10.3% during the last 3 and 5 years respectively . The Management is extremely positive on over growth of higher government spending across different infra segment demand from roads segment was the highest contributor followed by railways, irrigation and urban infrastructure.

Rural housing segment witnessed improved demand owing to higher rural incomes resulting from better yields and rise in crop prices. Also, there was strong demand observed from “Pradhan Mantri Awas Yojana – Gramin” as well as “Pradhan Mantri Awas Yojana – Urban” which are part of GOI’s “Housing for All by 2022” mission. In FY 2022-23, housing construction from PMAY-G witnessed construction of around 40 lakh dwelling units while that in PMAY-U witnessed the same at around 16 lakh units. the real state sector emerged as the second-largest sector in 2023.

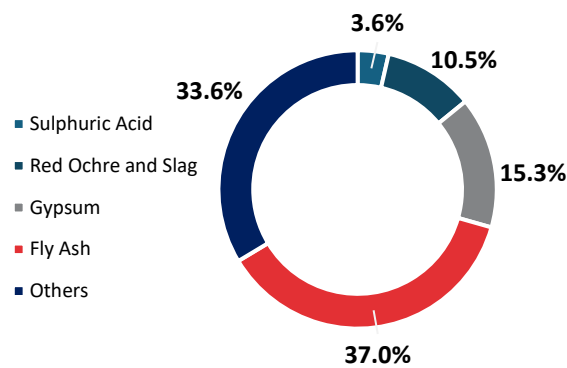
The Analyst's consensus growth for FY25 is INR 22185 crores which is 13.3% growth over the FY2023 revenue of INR 19585 crores. Company would maintain a double digit growth of 12% . Company has capex plan for FY25 is expected to be around 4000-4500 Crores. Company aims to reach 80 million tonnes of production by FY2030 through a mix of Brownfield and Greenfield expansion projects. The company aims to achieve a capacity of about 75 million tons by March '27 and over 80 million tons by March '28. Company launched a new premium product Bangur Magna The premium product mix has shown growth and the company is focused on enhancing brand equity and quality without increasing costs.

Source: IBEF

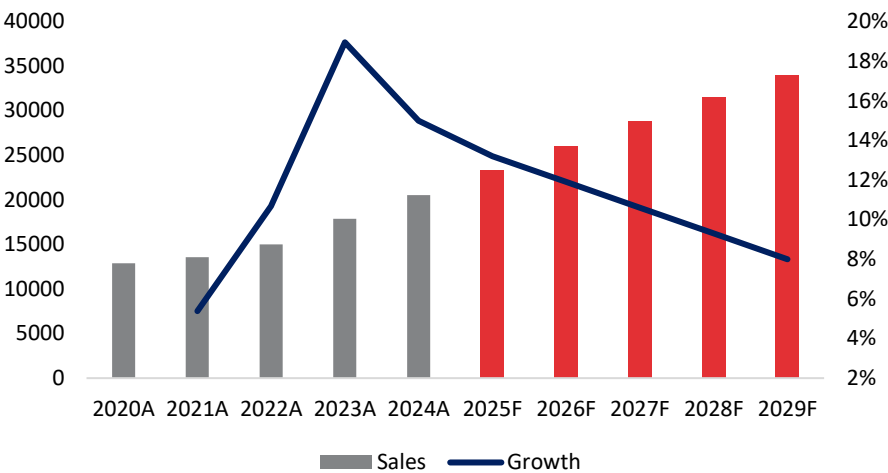
Product Wise Revenue Breakup



Raw Material Break-up



Revenue Growth



Source: Company Analysis,Tijori.com



Financials

Gross Margin

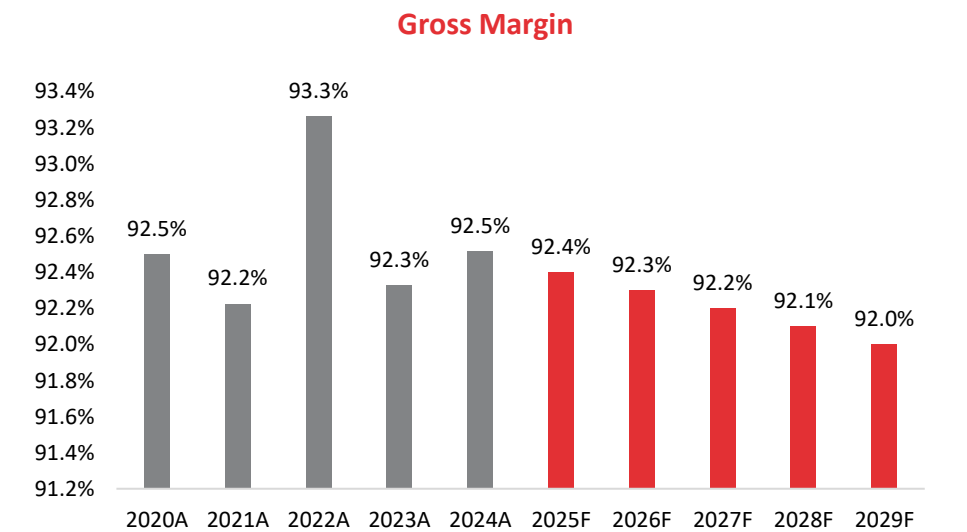
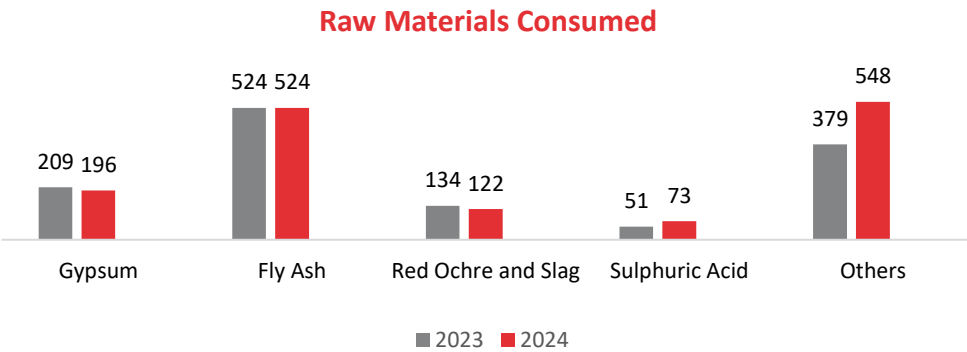
The raw material constitutes ~90%+ of the total Cost of Goods sold and ~8% of the revenue. the two principles of raw material are gypsum and fly ash. Gypsum cost has come down in one year from INR90 to INR75. Fly ash cost for us has come down from INR200 per ton to INR190 per ton management says.

Across the globe, has felt the pressure of high fuel and input prices resulting from supply chain disruptions and geo-political issues. The cement industry also faced the adverse impact of high fuel prices as most players predominantly use pet coke and imported coal. Yet amidst all these challenges. The company's EBITDA excluding other income decreased from Rs.3648 Crores to Rs.2942 Crores which is roughly a 19% decline largely because of significant and unprecedented increases in fuel cost as well as raw material costs like fly ash and slag.

The company's focus on energy management practices helped reduce power consumption per ton of cement from 64.93 kWh in FY 2022-23 to 65.41 kWh in FY 2023-24. It also increased its share of green power in total power consumption from 55.9% in FY 2022- 23 to 51.1% in FY 2022-23. The company continued with its leadership position about the use of green power (WHR, wind and solar) in its total power consumption.

while historically, the Company has posted a gross margin of ~92% - 89% with a median of 91% in the last 10 years. Basis our research, the gross margin posted by the cement market in India was 50.57%, by the sector global emerging market, was 21.07%, by the sector in global market margin was 24.47%.

Source: Company Analysis



Source: Tijori.com, Company Analysis



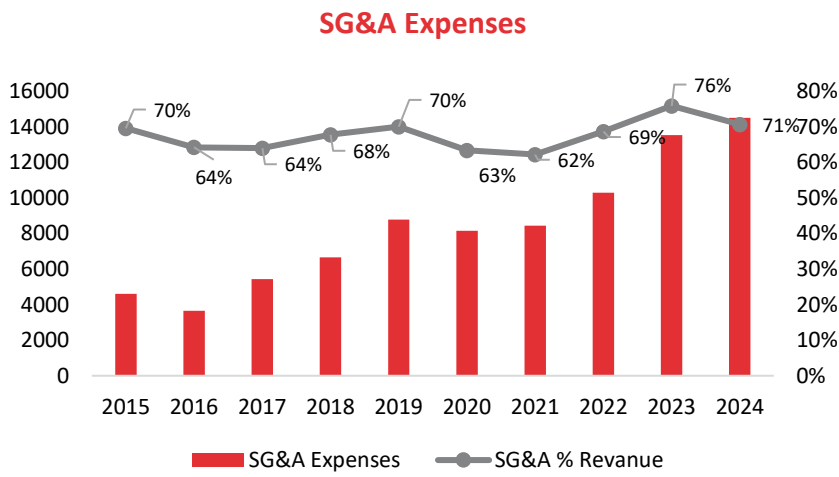
Financials

SG&A Expenses

During FY24, Company has reported EBITDA margin of 21.9% Which is 500bps higher than FY23(16.5%). The reason for rise in EBITDA margin Because of reduce the power&fuel cost. during FY23 EBITDA margin decline largely because of significant and unprecedented increase in fuel cost as well as raw material costs like fly ash and slag. FY22 Power&fuel cost (24.1%) to FY23 and FY24 Cost has (34.15%) and (30.9%) increased 10% of Revenue.

Basis our research, we have identified that historically, SG&A expenses is 67.6% of revenue. Where five expenses viz Power & fuel, Selling and distribution cost, Other expenses, Other SG&A Expenses Constitute and Employee cost Constitute 95.6% of Total SG&A expenses. these five key expenses are directly linked with sales.

We assumed ,total SG&A expenses to remain at 67.7% level as percentage of revenue which is almost align with street estimate and management guidance.

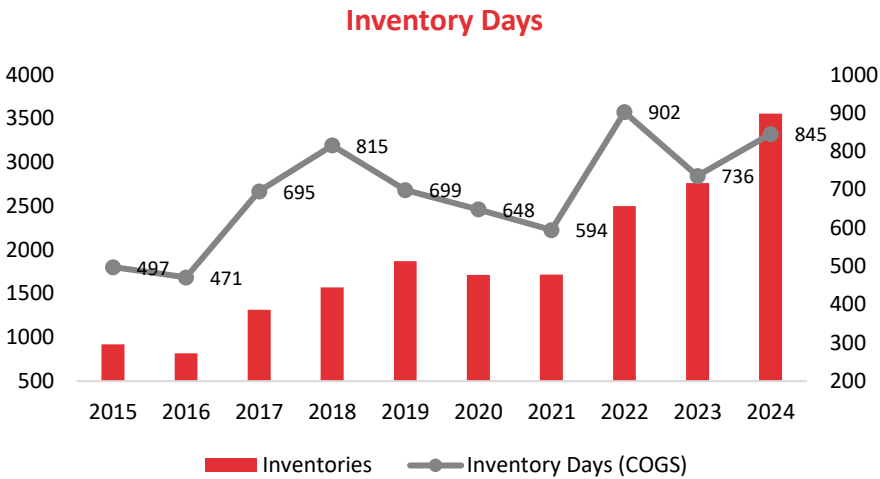


Inventory

Historically, the company is maintaining inventory levels at ~14.9% of Revenue. With inventory turnover ratio being consistent around 0.60x and Inventory days of 660.

The peer company in the market maintains inventory of 250 days which is lower than 10 year historical inventory days of the company. Shree cement anticipating higher future demand, so they keep more inventory on hand to quickly meet customer needs. With a wide distribution network, maintaining higher inventory ensures timely supply across various regions.

Further , street estimates suggest the inventory levels to remain flat from existing inventory days.

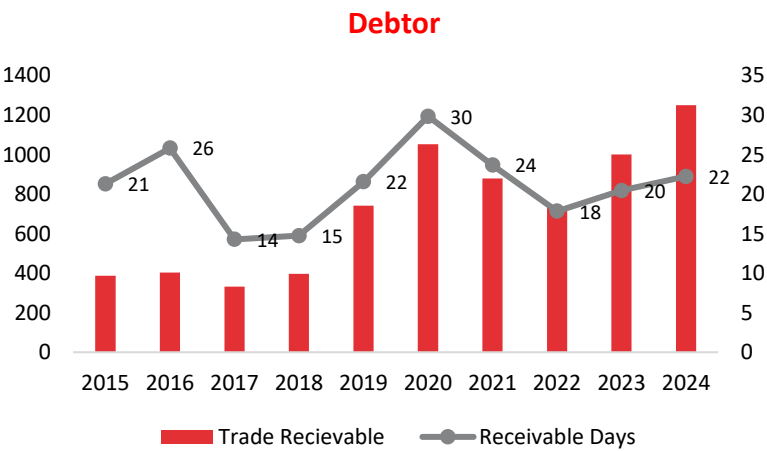


Financials

Debtor

The company has steady receivables and the company has a good collection mechanism due to which receivable levels are normal. ~31.5% of receivables were due for less than 6 months and the company is exposed to credit risk from its operating activities(trade receivable) and its investing activities. the company evaluates the concentration of risk concerning trade receivables as low, as its customers are located in several jurisdictions and industries and operate in largely independent markets. We don't foresee any significant credit impairment by the company shortly.

Historically, the company has maintained receivable levels at ~5.9% of Revenue. With a median receivable turnover ratio of ~17.24x and receivable days of 21. The peer company in the market maintains a receivable of 17-18 days which is similar to the 10-year historical receivable days of the company. Furthermore, street estimates suggest the receivable levels to remain flat from existing receivable days with censuses estimate of 19 days. We foresee our receivable level to be flat at 19 days.

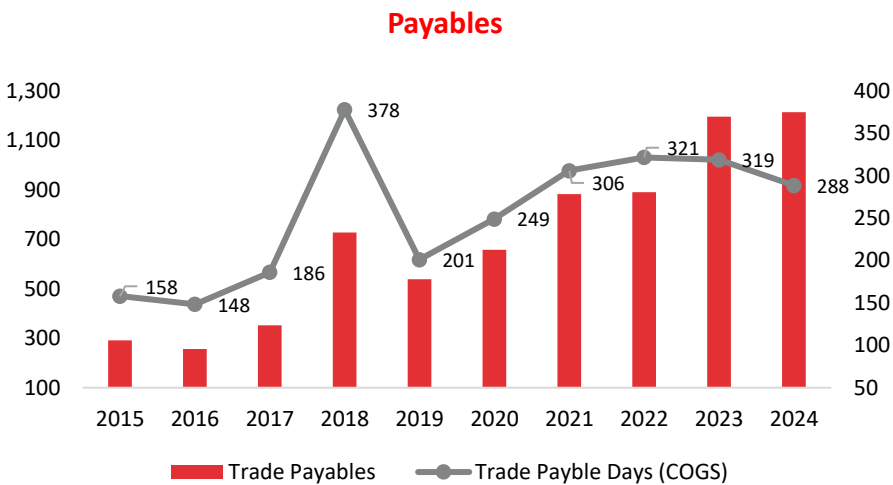


Payables

The company has maintained consistent payables of ~240-250 days except in the 2018 year when the payables were delayed.in the year 2024, the payables were reported to a normal level of 288 days. The trade payable is Constantly ~68% of COGS and ~ 5.1% of Revenue.

The peer companies in the market maintain payables of 230 Days which is similar to the 10-year historical Payable days of the company. Further, street estimates suggest the payable levels to ~250-300 suggest. In the absence of management guidance and the basis of our research.

we assume the payable days to remain flat at 250 days



Financials

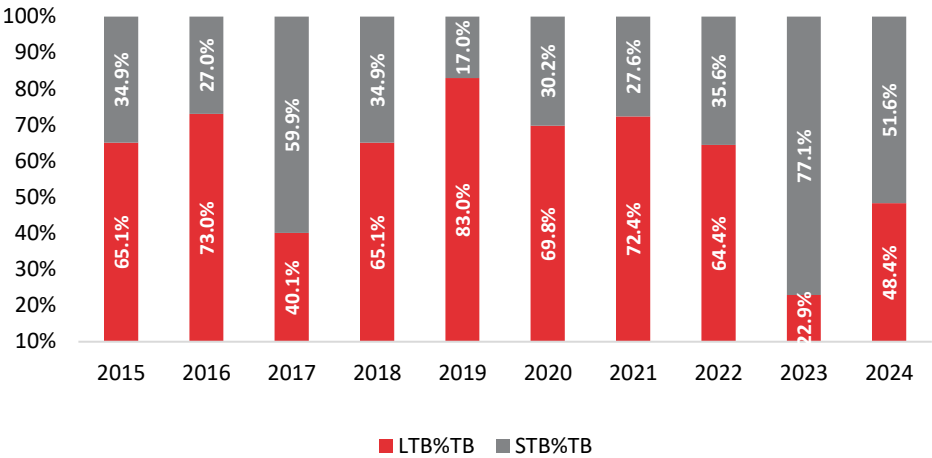
Borrowings

In the Last 2 Years, the company has substantially reduced the long term debt from ~65% of the total debt in 2022 to 48.4% in 2024. Debt to Equity ratio is consistent at 0.1x, Debt to Capital ratio at 0.1x, Debt to Assets ratio at 0.1x, and Debt to EBITDA ratio at 0.6x.shree debt to Equity ratio has reduced from 24.4% to 7.1% over the past 5 years.

The management provided the guidance to capacity addition 80 million in coming years and company neither need equity nor debt company have sufficient internal generations cash balance to meet the entire capex requirement. company has INR 5,000 Crores cash in the bank.

We foresee, the Long term debt reduce by -30% for the next 3-5 years because company has sufficient internal generations cash balance to meet the entire capex requirement and eventually grow at 3-4%. Also, the short-term debt to grow at 2% of the revenue.

Long Term and Short Term Borrowings



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3 Statement Model : Income Statement

in INR Crores unless stated otherwise

	Actuals	Explicit Forecast Period									
	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034
Income Statement											
Sales	20,521	23,230	25,994	28,749	31,423	33,937	36,652	39,218	41,963	44,481	47,150
Less: Cost of Goods Sold	1,536	1,765	2,002	2,242	2,482	2,715	3,299	3,530	4,196	4,893	5,186
Gross Profit	18,985	21,464	23,993	26,507	28,941	31,222	33,353	35,688	37,767	39,588	41,963
Gross Margin	92.5%	92.4%	92.3%	92.2%	92.1%	92.0%	91.0%	91.0%	90.0%	89.0%	89.0%
Less: SG&A Expenses (Excluding Depreciation & Interest)											
Power&Fuel Cost	6,345	5,343	5,914	6,469	6,992	7,466	8,063	8,628	9,232	9,786	10,373
Selling&Distribution Cost	4,607	5,575	6,239	6,900	7,542	8,145	8,796	9,412	10,071	10,675	11,316
Other Expenses	2,050	2,555	2,859	3,162	3,457	3,733	4,032	4,314	4,616	4,893	5,186
Other SG&A Expes	1,490	2,091	2,339	2,587	2,828	3,054	3,299	3,530	3,777	4,003	4,243
Earning Before Interest Tax & Depreciation & Amortization	4,493	5,900	6,641	7,389	8,123	8,824	9,163	9,804	10,071	10,231	10,844
EBITDA MARGIN %	21.9%	25.4%	25.6%	25.7%	25.9%	26.0%	25.0%	25.0%	24.0%	23.0%	23.0%
Less: Depreciation Amortization	1,897	2,297	2,697	3,097	3,497	3,897	4,297	4,697	5,097	5,497	5,690
Earning Before Interest & Tax	2,596	3,603	3,944	4,292	4,626	4,927	4,866	5,107	4,974	4,734	5,154
EBIT MARGIN %	12.7%	15.5%	15.2%	14.9%	14.7%	14.5%	13.3%	13.0%	11.9%	10.6%	10.9%
Less : Interest	258	95	71	66	49	33	31	31	33	34	36
Add : Other Income	623	743	832	920	1,006	1,086	1,173	1,255	1,343	1,423	1,509
Exceptional Income/Expenses	-	-	-	-	-	-	-	-	-	-	-
Profit Before Tax	2,961	4,252	4,705	5,146	5,582	5,980	6,008	6,331	6,284	6,123	6,627
Less: Taxes	563	702	775	845	915	979	967	1,015	988	940	1,024
Net Income	2,398	3,550	3,930	4,301	4,667	5,001	5,041	5,316	5,296	5,183	5,604

3 Statement Model : Balance Sheet

	Actuals	Explicit Forecast Period									
<i>in INR Crores unless stated otherwise</i>	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034
Balance Sheet											
Assets											
Current Assets											
Cash	262	807	1,777	3,713	5,797	8,667	11,716	15,105	18,658	22,123	27,663
Bannk Balance	159	159	159	159	159	159	159	159	159	159	159
Inventory	3,555	3,246	3,632	4,017	4,391	4,742	5,121	5,480	5,863	6,215	6,588
Debtors(Trade Receivable)	1,287	1,337	1,496	1,418	1,550	1,674	1,807	1,934	2,069	2,194	2,325
Investment	5,264	5,264	5,264	5,264	5,264	5,264	5,264	5,264	5,264	5,264	5,264
Loans	171	171	171	171	171	171	171	171	171	171	171
Other Current Assets	1,513	1,858	2,080	2,300	2,514	2,715	2,932	3,137	3,357	3,558	3,772
Total Current Assets	12,211	12,842	14,578	17,042	19,845	23,391	27,170	31,250	35,542	39,684	45,942
Non-Current Assets											
Net Property, Plant & Equipment	8,834	10,687	12,139	13,192	13,844	14,097	13,949	13,402	12,454	11,107	7,496
Right of Use Assets	632	507	382	257	132	7	(118)	(243)	(368)	(493)	(618)
Intangible Assets	124	99	75	50	26	1	(23)	(48)	(72)	(97)	(121)
Capital Work in progress	1,929	1,929	1,929	1,929	1,929	1,929	1,929	1,929	1,929	1,929	1,929
Non Current Financial Assets	3,377	3,377	3,377	3,377	3,377	3,377	3,377	3,377	3,377	3,377	3,377
Other Non Current Asset	184	184	184	184	184	184	184	184	184	184	184
Deferred Tax Assets (Net)	658	658	658	658	658	658	658	658	658	658	658
Total Non-Current Assets	15,738	17,441	18,744	19,647	20,150	20,253	19,956	19,259	18,162	16,665	12,905
Total Assets	27,949	30,283	33,322	36,689	39,995	43,644	47,126	50,509	53,704	56,349	58,847
Equity and Liabilities											
Equity											
Share Capital	36	36	36	36	36	36	36	36	36	36	36
Other Equity	20,667	23,329	26,277	29,503	33,003	36,504	39,528	42,718	45,366	47,439	49,680
Total Shareholder's Equity	20,703	23,365	26,313	29,539	33,039	36,540	39,564	42,754	45,402	47,475	49,716
Minority Interest	-	-	-	-	-	-	-	-	-	-	-
Total Equity	20,703	23,365	26,313	29,539	33,039	36,540	39,564	42,754	45,402	47,475	49,716
Non-Current Liabilities:											
Borrowings and Loans											
Long-Term Borrowings	713	499	349	245	122	61	31	15	8	4	2
Short-Term Borrowings	761	465	520	575	314	339	367	392	420	445	471
Other Non-Current Liabilities											
Other Long Term Liabilities	309	309	309	309	309	309	309	309	309	309	309
Long Term Trade Payables	-	-	-	-	-	-	-	-	-	-	-
Long Term Provisions	31	31	31	31	31	31	31	31	31	31	31
Total Non-Current Liabilities	1,814	1,304	1,209	1,160	777	741	737	747	767	789	813
Current Liabilities:											
Trade Payables	1,214	1,395	1,582	1,772	1,962	2,146	2,607	2,790	3,317	3,867	4,099
Other Current Libalities											
Short Term Provisions	409	409	409	409	409	409	409	409	409	409	409
Non controlling Interest	41	41	41	41	41	41	41	41	41	41	41
Other Current Liabilities	3,768	3,768	3,768	3,768	3,768	3,768	3,768	3,768	3,768	3,768	3,768
Total Current Liability	5,432	5,613	5,800	5,990	6,180	6,364	6,825	7,008	7,535	8,085	8,317
Total Equity and Liabiltiys	27,949	30,283	33,322	36,689	39,995	43,644	47,126	50,509	53,704	56,349	58,847

3 Statement Model : Cash Flow Statement

in INR Crores unless stated otherwise

	Actuals	Explicit Forecast Period									
	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034
Cash Flow Statement											
Profit Before Tax	2,959	4,252	4,705	5,146	5,582	5,980	6,008	6,331	6,284	6,123	6,627
Add : Interest Expenses	258	95	71	66	49	33	31	31	33	34	36
Add : Depreciation	1,897	2,297	2,697	3,097	3,497	3,897	4,297	4,697	5,097	5,497	5,690
Add : Other items	(599)	-	-	-	-	-	-	-	-	-	-
Less : Change in Working capital	(725)	96	(580)	(337)	(530)	(493)	(269)	(508)	(212)	(127)	(486)
Less : Tax Paid	(444)	(702)	(775)	(845)	(915)	(979)	(967)	(1,015)	(988)	(940)	(1,024)
Cash Flow from Opiration	3,346	6,038	6,119	7,126	7,683	8,438	9,100	9,536	10,214	10,587	10,843
Net Purchase of Fixed Assets	(3,169)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(1,930)
Net Purchase of Investments	1,399	-	-	-	-	-	-	-	-	-	-
Dividend Income	6	-	-	-	-	-	-	-	-	-	-
Interest Received	344	-	-	-	-	-	-	-	-	-	-
Other investing activities items	2	-	-	-	-	-	-	-	-	-	-
Cash Flow from Investing Activites	(1,418)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(1,930)
Net Proceeds from Long term Borrowings	(469)	(214)	(150)	(105)	(122)	(61)	(31)	(15)	(8)	(4)	(2)
Net Proceeds from Short term Borrowings	(492)	(296)	55	55	(261)	25	27	26	27	25	27
Dividend Paid	(379)	(887)	(983)	(1,075)	(1,167)	(1,500)	(2,016)	(2,126)	(2,648)	(3,110)	(3,362)
Interest Paid	(220)	(95)	(71)	(66)	(49)	(33)	(31)	(31)	(33)	(34)	(36)
Proceeds from share issue	-	-	-	-	-	-	-	-	-	-	-
Repayment Of Leas Libalities	(148)	-	-	-	-	-	-	-	-	-	-
Others	-	-	-	-	-	-	-	-	-	-	-
Cash Flow from Financing Activites	(1,708)	(1,493)	(1,148)	(1,191)	(1,599)	(1,569)	(2,051)	(2,147)	(2,661)	(3,123)	(3,373)
Net Change In Cash	220	545	970	1,935	2,085	2,869	3,049	3,389	3,553	3,465	5,540
Effect of Foreign exchange fluctuations	1	-	-	-	-	-	-	-	-	-	-
Opening Cash Balance	14	262	807	1,777	3,713	5,797	8,667	11,716	15,105	18,658	22,123
Closing Cash Balance	235	807	1,777	3,713	5,797	8,667	11,716	15,105	18,658	22,123	27,663

Valuation

Objective

The objective is to reach at the intrinsic value of Shree cement stock. The analysis aim to assess the company's worth basis its ability to generate cash flows, future growth and risk associated with the business. We have carefully considered management's guidance while performing this analysis.

Valuation Methodology

There are primarily three approach in valuation (Viz., Cost Approach, Market Approach, and Income Approach)

For any valuation, all the approaches may not be relevant and therefore will not give a fair estimate of value. Hence, the approach most suitable for specific business/company must be applied in the valuation exercise based on common practices.

The three approaches generally adopted in valuation are as under:

- Market Approach: Comparable Companies Method and Comparable Transaction Method.
- Income Approach : Discounted Cash Flow Method
- Asset Approach : Net Asset Value method.

Market Approach

Under this approach, we measure the value of business of the company by applying the market multiple of listed companies which trade actively and possess attributes similar and comparable with the target company. This methodology is based on the principle that such market pricing taking place between informed buyers and informed

Seller while taking into account all the relevant factors. Not all multiple are applicable to every company. Therefore, the relevant multiple should be chosen carefully and adjusted for differences between the comparable. For the purpose of valuation of Shree cement, we have chosen EV/EBITDA multiple.

Asset Approach

Under this approach, the value of the business is derived basis difference between the value of asset and liabilities. This approach focusses on determining the value of net assets from the perspective of equity valuation. The value of net asset can be determined as follows; $\text{Net assets} = \text{Total Asseer} - \text{Total Liabilities}$. The value of net assets is also known as Total Equity.

Income Approach

Under this approach, The value of business is derived by considering free cash flows, future growth and weighted average cost of capital which signifies risk.

There are four major steps in income Approach.

- Forecasting future cash flow for explicit growth period.
- Discounting these cash flow to present value at the rate of return which despite the risk in realizing the future cash flow and expected growth.
- Calculation of terminal value of free cash flows post explicit growth period.
- Addition of present value of terminal cash flow and free cash flow during explicit forecast period.

Annexure-1

WACC Calculation

WACC Inputs	
Country	India
Local Currency 10Y Government Bond Yield	6.98%
India's Moody's Sovereign Rating	Baa3
Credit default spread as per Dr.Damodaran	2.4%
Implied US Equity Risk Premium	4.12%
Asset Beta	0.39
Asset Beta Variation (+/-)	0.05
Debt to Equity Ratio	7.1%
Debt to Capital (Gearing)	7%
Marginal Tax Rate	25%
Company Credit Rating Available?	Yes
Company is Large Firm or small Firm	L
Provide Credit Rating	Aaa/AAA
Interest Coverage Ratio	10.1
ICR Based Corporate Default Spread	0.59%
Small Size Premium	2.20%

Particulars	Low	Mid	High
Risk Free Rate	4.59%	4.59%	4.59%
Equity Risk Premium	6.51%	6.51%	6.51%
Asset Beta	0.34	0.39	0.44
D/E Ratio	7.1%	7.1%	7.1%
Equity Beta	0.36	0.41	0.46
CAPM Cost of Equity	6.92%	7.26%	7.60%

Small Size Premium	2.20%	2.20%	2.20%
Asset Specific Premium	0.00%	0.00%	0.00%
Modified Cost of Equity	9.12%	9.46%	9.80%

Pre Tax Cost of Debt	7.57%	7.57%	7.57%
Marginal tax Rate	25%	25%	25%
Post Tax Cost of Debt	5.68%	5.68%	5.68%

Capital Gearing (D/D+E)	7%	7%	7%
Weighted Average Cost Of Capital	8.89%	9.21%	9.53%
Weighted Average Cost Of Capital (Rounded)	9.00%	10.00%	10.00%

Risk Free Rate

We have considered 4.59% as the risk free rate in estimation of cost of equity of 7.26%.The risk free rate of India is calculated by considering local currency 10 Year government bond yield adjusted for default spread of India.

Equity Risk Premium

An ERP of 6.51% has been adopted based on US implied equity risk premium, relative equity volatile of ICE BOFA public sector issue Emerging Markets index, S&P Emerging BMI Index and Country risk Premium of India.

Asset Beta

We have estimated an asset beta range of 0.34 to 0.44, with a mid point of 0.39 based on observed median of 2 year Weekly asset beta of benchmark listed companies adjusted for Blume effect.

Cost of Debt

For the purpose of assessing the cost of debt, we have used country's risk free rate, country's default spread and corporate default spread based on company's debt rating and interest coverage ratio.

Small Size Premium

Empirically small sized assets have exceeded the returns as compared to large sized assets. We have used the study on size premium conducted by incwert which is based on difference between actual returns and CAPM expected returns arranged in decile basis market capitalization of Indian companies.

Notes :

- 1.Tax rate considered as marginal tax rate of India.
2. Asset Beta is considered as median of 2 years beta of comps adjusted for Blume affect.
3. Equity Beta =Assets Beta * (1+(1-Tax Rate%)*Debt/Equity)

Beta Analysis

Beta Analysis 2 Years Weekly

Comparable Company	No. of Weekly Observation	Market Cap	Asset Beta	2 Year Avg D/E	Equity Beta	2 Year avg D/D+E	Considered?
UltraTech Cement	104	3,36,980	0.27	10.50%	0.29	8.70%	Y
Ambuja	104	1,66,667	0.12	1.0%	0.12	1.80%	Y
ACC	104	48,667	0.15	1.10%	0.15	1.60%	Y
Jk Cement	104	33,927	0.17	52.30%	0.23	51.90%	N
Dalmia	104	34,489	0.14	14.80%	0.15	21.20%	N
Birla Corp	104	11,888	0.09	29.60%	0.11	39.80%	N
Median - Broad set			0.14	12.65%	0.15	14.95%	
Average - Broad set			0.15	18.22%	0.18	20.83%	
Median - Considered set			0.15	1.1%	0.15	1.8%	
Average - Considered set			0.18	4.2%	0.19	4.0%	

Blume Beta Analysis 2 Years Weekly

Comparable Company	No. of Weekly Observation	Market Cap	Asset Beta	2 Year Avg D/E	Equity Beta	2 Year avg D/D+E	Considered?
UltraTech Cement	104	3,36,980	0.48	10.50%	0.51	8.70%	Y
Ambuja	104	1,66,667	0.40	1.0%	0.41	1.80%	Y
ACC	104	48,667	0.42	1.10%	0.42	1.60%	Y
Jk Cement	104	33,927	0.34	52.30%	0.48	51.90%	N
Dalmia	104	34,489	0.38	14.80%	0.42	21.20%	N
Birla Corp	104	11,888	0.33	29.60%	0.40	39.80%	N
Median - Broad set			0.39	12.65%	0.42	14.95%	
Average - Broad set			0.39	18.22%	0.44	20.83%	
Median - Considered set			0.42	1.1%	0.42	1.8%	
Average - Considered set			0.43	4.2%	0.45	4.0%	

Beta Analysis

Beta Analysis 5 Years Monthly

Comparable Company	No. of Weekly Observation	Market Cap	Asset Beta	5 Year Avg D/E	Equity Beta	5 Year avg D/D+E	Considered?
UltraTech Cement	60	3,36,980	0.52	26.40%	0.62	20.89%	Y
Ambuja	60	1,66,667	0.16	0.1%	0.16	0.10%	Y
ACC	60	48,667	0.39	1.10%	0.39	1.09%	Y
Jk Cement	60	33,927	0.73	9.70%	0.78	8.84%	N
Dalmia	60	34,489	0.69	29.40%	0.84	22.72%	N
Birla Corp	60	11,888	0.50	22.60%	0.58	18.43%	N
Median - Broad set			0.51	16.15%	0.60	13.64%	
Average - Broad set			0.50	14.88%	0.56	12.01%	
Median - Considered set			0.39	1.1%	0.39	1.1%	
Average - Considered set			0.36	9.2%	0.39	7.4%	

Bottom Beta

Bottom Beta Calculation	
Sector Levered Beta	0.95
Sector D/E Ratio	20.0%
Marginal tax Rate	25%
Sector Unlevered Beta	0.83
Company D/E Ratio	7.1%
Comapay Levered Beta	0.87

We have taking 0.39 as asset beta of cement

DCF valuation

in INR Crores unless stated otherwise

			Actual			Explicit Forecast Period									
			FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034
in INR Crores unless stated otherwise															
Free Cash Flow to Firm															
EBITDA			3,700	2,948	4,493	5,900	6,641	7,389	8,123	8,824	9,163	9,804	10,071	10,231	10,844
Less:Depreciation & Amortization			(1,146)	(1,661)	(1,897)	(2,297)	(2,697)	(3,097)	(3,497)	(3,897)	(4,297)	(4,697)	(5,097)	(5,497)	(5,690)
EBIT			2,554	1,287	2,596	3,603	3,944	4,292	4,626	4,927	4,866	5,107	4,974	4,734	5,154
Less:Tax			(555)	(226)	(563)	(702)	(775)	(845)	(915)	(979)	(967)	(1,015)	(988)	(940)	(1,024)
EBIT(1-T)			1,999	1,061	2,033	2,902	3,170	3,446	3,711	3,948	3,899	4,092	3,986	3,794	4,131
Add:Depriciation & Amortization			1,146	1,661	1,897	2,297	2,697	3,097	3,497	3,897	4,297	4,697	5,097	5,497	5,690
Cash NOPAT			3,145	2,722	3,930	5,199	5,867	6,543	7,208	7,845	8,196	8,789	9,083	9,291	9,821
Less:Reinvestment															
Change in Working Capital			(848)	(52)	(725)	96	(580)	(337)	(530)	(493)	(269)	(508)	(212)	(127)	(486)
Capex during the year			(2,209)	(3,279)	(3,169)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(4,000)	(1,930)
Free Cash Flow To Firm			88	(609)	36	1,294	1,287	2,206	2,678	3,352	3,927	4,281	4,871	5,164	7,405
Discount Peried(Years)	Mid Year Convention?	Yes				0.5	1.5	2.5	3.5	4.5	5.5	6.5	7.5	8.5	9.5
Discount Rate (WACC)		10%													
Present ValueFactor						0.953	0.867	0.788	0.716	0.651	0.592	0.538	0.489	0.445	0.404
Present value of Free Cash Flow to Firm						1,234	1,116	1,738	1,918	2,183	2,325	2,304	2,383	2,297	2,994

DCF Calculation - Perpetuity Growth

Perpetuity Growth Rate	4.6%
Terminal Year FCFF x (1+PGR)	7,744
Terminal-Value	1,43,030
Present Value of Terminal Value	57,836
Present Value of FCFFs	20,493
Enterprice Value	78,329
Less:Debt	(1,474)
Add:Cash	421
Less:Minority Interest	-
Add: Non-Operating Asset	2,291
Equity Value	79,567
Less: Value of Options	-
Equity Value for Shareholder	79,567

DCF Calculation - Exit Multiple

Exit Multiple	18.0 x
Terminal Year EBITDA	10,844
Terminal-Value	1,95,199
Present Value of Terminal Value	78,931
Present Value of FCFFs	20,493
Enterprice Value	99,424
Less:Debt	(1,474)
Add: Cash	421
Less:Minority Interest	-
Add : Non-Operating Asset	2,291
Equity Value	1,00,662
Less: Value of Options	-
Equity Value for Shareholder	1,00,662

Market Cap
INR 92,295
Crores

Intrinsic Value
INR 79,567
Crores

WACC
10%

Terminal
Growth
4.6%

		WACC				
		8%	9%	10%	11%	12%
Terminal Growth Rate%	3%	97444	78891	65788	56081	48630
	4%	116692	90756	73630	61527	52554
	5%	133343	100280	79617	65537	55367
	6%	212930	138215	101077	78954	64329
	7%	405405	197539	128523	94203	73748
		WACC				
		8%	9%	10%	11%	12%
Exit Multiple	16x	107540	99352	91892	85088	78877
	17x	112760	104135	96277	89112	82572
	18x	117981	108917	100662	93135	86267
	19x	123201	113700	105047	97159	89962
	20x	128421	118482	109432	101183	93657

Ratio Analysis

in INR Crores unless stated otherwise

	Actuals	Explicit Forecast Period									
	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034
Liquidity Ratio											
Current Assets	12,211	12,842	14,578	17,042	19,845	23,391	27,170	31,250	35,542	39,684	45,942
Current Liabilities	5,432	5,613	5,800	5,990	6,180	6,364	6,825	7,008	7,535	8,085	8,317
Current Ratio	2.2x	2.3x	2.5x	2.8x	3.2x	3.7x	4.0x	4.5x	4.7x	4.9x	5.5x
Current Assets	12,211	12,842	14,578	17,042	19,845	23,391	27,170	31,250	35,542	39,684	45,942
Inventory	3,555	3,246	3,632	4,017	4,391	4,742	5,121	5,480	5,863	6,215	6,588
Current Liabilities	5,432	5,613	5,800	5,990	6,180	6,364	6,825	7,008	7,535	8,085	8,317
Quick Ratio(Acid Test)	1.6x	1.7x	1.9x	2.2x	2.5x	2.9x	3.2x	3.7x	3.9x	4.1x	4.7x
Inventory Days	56 Days	51 Days	51 Days	51 Days	51 Days	51 Days	51 Days	51 Days	51 Days	51 Days	51 Days
Debtor Days	22 Days	21 Days	21 Days	18 Days	18 Days	18 Days	18 Days	18 Days	18 Days	18 Days	18 Days
Creditor Days	288 Days	288 Days	288 Days	288 Days	288 Days	288 Days	288 Days	288 Days	288 Days	288 Days	288 Days
Cash Conversion Days	(210)	(216)	(216)	(219)	(219)	(219)	(219)	(219)	(219)	(219)	(219)
Leverage Ratio/Solvency Ratio											
Total Debt	1,474	964	869	820	437	401	397	407	427	449	473
Total Equity	20,703	23,365	26,313	29,539	33,039	36,540	39,564	42,754	45,402	47,475	49,716
Debt to Equity Ratio	7.1%	4.1%	3.3%	2.8%	1.3%	1.1%	1.0%	1.0%	0.9%	0.9%	1.0%
Total Debt	1,474	964	869	820	437	401	397	407	427	449	473
Total Assets	27,949	30,283	33,322	36,689	39,995	43,644	47,126	50,509	53,704	56,349	58,847
Debt to Assets Ratio	5.3%	3.2%	2.6%	2.2%	1.1%	0.9%	0.8%	0.8%	0.8%	0.8%	0.8%
Total Equity	20,703	23,365	26,313	29,539	33,039	36,540	39,564	42,754	45,402	47,475	49,716
Total Assets	27,949	30,283	33,322	36,689	39,995	43,644	47,126	50,509	53,704	56,349	58,847
Equity Ratio/Multiplayer	74.1%	77.2%	79.0%	80.5%	82.6%	83.7%	84.0%	84.6%	84.5%	84.3%	84.5%
Coverage Ratio											
Total Debt	1,474	964	869	820	437	401	397	407	427	449	473
EBITDA	22	21	21	18	18	18	18	18	18	18	18
Debt to EBITDA Coverage Ratio	66.3x	45.9x	41.4x	45.5x	24.3x	22.3x	22.1x	22.6x	23.7x	24.9x	26.3x
EBIT	2,596	3,603	3,944	4,292	4,626	4,927	4,866	5,107	4,974	4,734	5,154
Interest	258	95	71	66	49	33	31	31	33	34	36
Debt Repayment	510	964	869	820	437	401	397	407	427	449	473
Debt Service Coverage Ratio	3.4x	3.4x	4.2x	4.8x	9.5x	11.4x	11.4x	11.6x	10.8x	9.8x	10.1x
EBIT	2,596	3,603	3,944	4,292	4,626	4,927	4,866	5,107	4,974	4,734	5,154
Interest Expenses	258	95	71	66	49	33	31	31	33	34	36
Interest Coverage Ratio	10.1x	37.9x	55.2x	65.2x	94.4x	150.9x	156.4x	162.8x	152.8x	138.6x	143.3x

Ratio Analysis

in INR Crores unless stated otherwise

	Actuals	Explicit Forecast Period									
	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034
Profitability/Margins ratio											
Gross Profit	18,985	21,464	23,993	26,507	28,941	31,222	33,353	35,688	37,767	39,588	41,963
Total sales	20,521	23,230	25,994	28,749	31,423	33,937	36,652	39,218	41,963	44,481	47,150
Gross Margin	92.5%	92.4%	92.3%	92.2%	92.1%	92.0%	91.0%	91.0%	90.0%	89.0%	89.0%
EBITDA	4,493	5,900	6,641	7,389	8,123	8,824	9,163	9,804	10,071	10,231	10,844
Total sales	20,521	23,230	25,994	28,749	31,423	33,937	36,652	39,218	41,963	44,481	47,150
EBITDA Margin	21.9%	25.4%	25.6%	25.7%	25.9%	26.0%	25.0%	25.0%	24.0%	23.0%	23.0%
EBIT	2,596	3,603	3,944	4,292	4,626	4,927	4,866	5,107	4,974	4,734	5,154
Total sales	20,521	23,230	25,994	28,749	31,423	33,937	36,652	39,218	41,963	44,481	47,150
EBIT Margin	12.7%	15.5%	15.2%	14.9%	14.7%	14.5%	13.3%	13.0%	11.9%	10.6%	10.9%
Net Profit	2,398	3,550	3,930	4,301	4,667	5,001	5,041	5,316	5,296	5,183	5,604
Total sales	20,521	23,230	25,994	28,749	31,423	33,937	36,652	39,218	41,963	44,481	47,150
Net Profit Margin	11.7%	15.3%	15.1%	15.0%	14.9%	14.7%	13.8%	13.6%	12.6%	11.7%	11.9%
Net Income	2,398	3,550	3,930	4,301	4,667	5,001	5,041	5,316	5,296	5,183	5,604
Total Assets	27,949	30,283	33,322	36,689	39,995	43,644	47,126	50,509	53,704	56,349	58,847
Return on Assets	8.6%	11.7%	11.8%	11.7%	11.7%	11.5%	10.7%	10.5%	9.9%	9.2%	9.5%
Net Income	2,398	3,550	3,930	4,301	4,667	5,001	5,041	5,316	5,296	5,183	5,604
Total Equity	20,703	23,365	26,313	29,539	33,039	36,540	39,564	42,754	45,402	47,475	49,716
Return on Equity	11.6%	15.2%	14.9%	14.6%	14.1%	13.7%	12.7%	12.4%	11.7%	10.9%	11.3%
Efficiency Ratio											
Revenue	20,521	23,230	25,994	28,749	31,423	33,937	36,652	39,218	41,963	44,481	47,150
Total Asset	27,949	30,283	33,322	36,689	39,995	43,644	47,126	50,509	53,704	56,349	58,847
Asset Turnover Ratio	73.4%	76.7%	78.0%	78.4%	78.6%	77.8%	77.8%	77.6%	78.1%	78.9%	80.1%
Change in Revenue	2,674	2,709	2,764	2,755	2,674	2,514	2,715	2,566	2,745	2,518	2,669
Change in Total Asset	1,616	2,334	3,040	3,366	3,307	3,649	3,482	3,382	3,195	2,645	2,498
Reinvestment Ratio	1.7x	1.2x	0.9x	0.8x	0.8x	0.7x	0.8x	0.8x	0.9x	1.0x	1.1x

Relative valuation

In INR Crores

Market Data						Financials									Multiple (x)								
Relative Valuation	Ticker	Share Price	Market Cap	Debt	Enterprise Value	2024A	2025E	2026E	2024A	2025A	2026A	2024A	2025A	2026A	2024A	2025A	2026A	2024A	2025A	2026A	2024A	2025A	2026A
						Sales	Sales	Sales	EBITDA	EBITDA	EBITDA	PAT	PAT	PAT	EV/Sales	EV/Sales	EV/Sales	EV/EBITDA	EV/EBITDA	EV/EBITDA	P/E	P/E	P/E
Ultratech Cement	ULTRACEMCO	11,470	3,31,129	11,403	3,42,854	70,908	76,730	87,502	12,969	15,744	19,514	7,004	8,534	11,008	4.8x	4.5x	3.9x	26.4x	21.8x	17.6x	47.3x	38.8x	30.1x
Ambuja Cement	AMBUJACEM	645	1,58,970	699	1,48,748	33,160	36,389	42,932	6,400	5,535	7,877	4,738	4,127	6,133	4.5x	4.1x	3.5x	23.2x	26.9x	18.9x	33.6x	38.5x	25.9x
ACC	ACC	2,415	45,351	355	43,881	19,959	21,093	22,996	3,062	2,830	3,711	2,337	1,606	2,215	2.2x	2.1x	1.9x	14.3x	15.5x	11.8x	19.4x	28.2x	20.5x
Dalmia Cement	DALMIABHA	1,784	33,464	4,805	37,588	14,691	15,640	17,491	2,639	2,655	3,260	853	913	1,216	2.6x	2.4x	2.1x	14.2x	14.2x	11.5x	39.2x	36.7x	27.5x
JK Cement	JKCEMENT	4,215	32,569	5,549	37,284	11,556	12,200	13,710	2,071	2,325	2,835	790	1,126	1,438	3.2x	3.1x	2.7x	18.0x	16.0x	13.2x	41.2x	28.9x	22.6x
The India Cement	INDIACEM	368	11,389	2,618	13,969	5,112	5,512	5,986	99	181	439	(227)	86	230	2.7x	2.5x	2.3x	141.1x	77.2x	31.8x	-50.2x	132.4x	49.5x
Star Cement	STARCEMENT	204	8,235	147	8,287	2,911	3,458	4,000	556	696	812	295	320	403	2.8x	2.4x	2.1x	14.9x	11.9x	10.2x	27.9x	25.7x	20.4x
High															4.8x	4.5x	3.9x	141.1x	77.2x	31.8x	47.3x	132.4x	49.5x
75th Percentile															3.9x	3.6x	3.1x	24.8x	24.3x	18.2x	40.2x	38.7x	28.8x
Average															3.3x	3.0x	2.7x	36.0x	26.2x	16.4x	22.6x	47.0x	28.1x
Median															2.8x	2.5x	2.3x	18.0x	16.0x	13.2x	33.6x	36.7x	25.9x
25th Percentile															2.6x	2.4x	2.1x	14.6x	14.8x	11.7x	23.7x	28.6x	21.6x
Low															2.2x	2.1x	1.9x	14.2x	11.9x	10.2x	-50.2x	25.7x	20.4x

Relative Valuation	
Sales	20521
EBITDA	4493
PAT	2398
Valuation Multiple	EV/EBITDA
EV/EBITDA	18.0x
Enterprise value	80887
Less:Debt	(1,474)
Add:Cash	421
Less:Minority Interest	-
Add:Value of Holdings	-
Add:Non Operating Asset	2,291
Equity Value	82,125
Less: Value of Options	-
Equity Value for Shareholder	82,125

Relative Valuation	
Sales	20521
EBITDA	4493
PAT	2398
Valuation Multiple	EV/Sales
EV/Sales	2.8x
Enterprise value	58419
Less:Debt	(1,474)
Add: Cash	421
Less:Minority Interest	-
Add:Value of Holdings	-
Add:Non Operating Asset	2,291
Equity Value	59,657
Less: Value of Options	-
Equity Value for Shareholder	59,657

Relative Valuation	
Sales	20521
EBITDA	4493
PAT	2398
Valuation Multiple	P/E
P/E	33.6x
Equity Value	80458
Less:Debt	-
Add:Cash	-
Less:Minority Interest	-
Add:Value of Holdings	-
Add:Non Operating Asset	-
Equity Value	80,458
Less: Value of Options	-
Equity Value for Shareholder	80,458

Annexure-2

Relative valuation - Benchmarking

Rationale for Selecting comparable Companies

The comparable company for Shree cement like ACC, Ambuja, Dalmia Bharat, J.K. Cement, and Ultratech Cement are ideal due to their alignment in the cement and clinker industry, similar product offerings (e.g., Portland and Pozzolana cement), and broader market reach. These firms operate on a national and international scale and have diversified into value-added products and renewable energy.

Making them suitable for benchmarking key metrics such as profitability, efficiency, and growth. Smaller players like Star Cement, Indian Cement, and Sanghi Industries are outliers due to their limited scale and geographic presence, offering less relevance for broader industry benchmarking.

Summary						
Benchmarking - Broad set	2020	2021	2022	2023	2024	Historical Average
Average Revenue Growth	-2.61%	9.08%	12.42%	16.88%	0.44%	7.24%
Average EBITDA Margins	19.00%	22.56%	14.00%	10.56%	12.44%	15.71%
Average EBIT Margins	13.72%	17.61%	10.22%	6.95%	8.29%	11.36%
Average PBT Margins	10.19%	14.69%	7.97%	2.63%	2.63%	7.62%
Average PAT Margins	9.06%	10.87%	8.23%	1.12%	0.46%	5.95%
Median Revenue Growth	0.66%	5.82%	11.63%	20.23%	2.29%	5.82%
Median EBITDA Margins	21.00%	23.00%	17.00%	13.00%	18.00%	18.00%
Median EBIT Margins	16.10%	18.33%	12.07%	10.08%	14.08%	14.08%
Median PBT Margins	12.22%	15.52%	10.28%	8.57%	10.16%	10.28%
Median PAT Margins	10.27%	11.53%	8.50%	6.27%	6.84%	8.50%
Benchmarking - Considered set	2020	2021	2022	2023	2024	Historical Average
Average Revenue Growth	3.41%	11.82%	10.04%	26.78%	2.89%	10.99%
Average EBITDA Margins	20.40%	23.40%	12.60%	14.00%	17.60%	17.60%
Average EBIT Margins	14.40%	18.45%	9.22%	10.00%	14.37%	13.29%
Average PBT Margins	11.45%	16.25%	7.83%	8.59%	12.47%	11.32%
Average PAT Margins	9.47%	11.78%	9.98%	6.40%	9.71%	9.47%
Median Revenue Growth	2.33%	13.87%	11.63%	21.64%	8.40%	11.63%
Median EBITDA Margins	21.00%	24.00%	19.00%	14.00%	18.00%	19.00%
Median EBIT Margins	16.85%	18.33%	12.07%	10.08%	14.60%	14.60%
Median PBT Margins	12.40%	16.55%	10.28%	9.58%	13.29%	12.40%
Median PAT Margins	10.37%	11.70%	8.50%	7.77%	9.88%	9.88%

Comparable Company Discription

Company Name	Discription
ACC	ACC Limited engages in the manufacture and sale of cement and ready-mix concrete in India. It operates in Cement and Ready Mix Concrete segments. The company provides ordinary Portland cement, blended cement, including Portland Pozzolana cement, Portland slag cement, and composite cement, gold and silver range of cement, ready mixed concrete value-added products, and bulk cement. It also offers construction chemicals, such as ACC LeakBlock, an integral waterproofing compound used in concrete and plaster while constructing houses, ACC LeakBlock Waterproof Plaster-LB 101, a ready-to- use cementitious waterproof mortar for internal and external plaster applications, and tile adhesives, under ACC Xtra Strong brand, used for wet-on-wet fixing of medium sized tiles for internal walls and floors, and external floor applications, as well as an adhesive paste for foxing tiles on floor and wall in addition, the company provides ready use and waterproof plasters, thin bed joining mortars, grey cement-based tile adhesives, and shrinkage compensated and flowable precision cementitious grout under ACC Suraksha brand, and Eco Maxx, a green concrete with lower embodied carbon 39888content for various structural components applications comprising foundations, columns, beams, external or internal walls, driveways, walkways, etc. It distributes its products through a network of dealers, retailers, engineers, and architects. The company was formerly known as The Associated Cement Companies Limited and changed its name to ACC Limited in September 2006. ACC Limited was incorporated in 1936 and a headquartered in Ahmedabad, Inda ACC Limited operates as a subsidiary of Ambuja Cements Limited
Ambuja	Ambuja Cements Limited, together with its subsidiaries, manufactures and markets cement and cement related products to individual homebuilders, masons and contractors, and architects and engineers in India. The company offers Portland pozzolana cement and ordinary Portland cement, as well as temperature resistant concrete blocks, Blaine Portland cement, and micro materials. It sells its products through dealers, authorized retail stockiest, retailers, and authorized sales representatives. The company was formerly known as Gujarat Ambuja Cements Limited and changed its name to Ambuja Cements Limited in April 2007 The company was incorporated in 1981 and is based in Ahmedabad, India. Ambuja Cements Limited operates as a subsidiary of Holderind Investments Ltd.
Dalmia	Dalmia Bharat Limited, together with its subsidiaries, manufactures and sells clinker and cement products primarity in India. The company offers Portland slag cement, Portland pozzolana cement, Portland composite cement, ordinary Portland cement, and specialty cement under the Dalmia Cement, Dalmia DSP, and Konark Cement brands. It serves institutional/commercial customers, individual house builders, government bodies for infrastructure projects. The company was formerly known as Odisha Cement Limited and changed its name to Dalma Bharat Limited in April 2019. Dalmia Bharat Limited was founded in 1939 and is based in New Delhi, India
Deccan	Deccan Cements Limited engages in the manufacture and sale of cement in india. The company offers ordinary Portland, Portland pozzolana, and Portland slag cement products, and other specialty cement products, such as rapid hardening, sulphate resistant, high alumina, and oil well cement, as well as 53-5 grade ordinary Portland cement, a specialty cement for railway applications. It also generates and sells electricity through thermal, wind, and hydro-electric power units. The company was incorporated in 1979 and is headquartered in Hyderabad,
J.K	J.K. Cement Limited manufactures and sells cement and its related products under the J.K. Cement brand in India and internationally. The company offers grey cement products, including ordinary Portland, Portland Pozzolana, Portland Slag, and weather shield. It provides white cement-based putty, and gypsum plaster for application on walls and ceilings. In addition, the company offers wall putty, white cement-based wall leveller and a polymer modifying self-curing mortar, grey cement-based tile adhesives and grouts; and a range of polyurethane wood finishes, as well as interior and exterior paints. J.K. Cement Limited was founded in 1975 and is headquartered in Kanpur, India

Comparable Company Discription

Company Name	Discription
Sanghi	Sanghi Industries Limited manufactures and markets cement and clinker in India and internationally. The company offers ordinary Portland, Pozzolana Portland, and Portland slag cement products. It also offers Shakti Rath, a mobile technical assessment lab for on-demand onsite concrete testing. The company was incorporated in 1985 and is based in Ahmedabad, India Sanghi Industries Limited is a subsidiary of Ambuja Cements Limited
Shree Cement	Shree Cement Limited manufactures and sells cement and clinker in India and internationally. It offers cement under the Roofon, Bangur Power, Shree Jung Rodhak, Bangur Cement, and Rockstrong brand names. The company also engages in the generation of power with a total capacity of 888.6 megawatts through thermal, waste heat recovery, solar, and wind power plants. Further, produces autoclaved aerated concrete blocks, a lightweight and precast building material Shree Cement Limited was incorporated in 1979 and is based in Kolkata, India
Star Cement	Star Cement Limited manufactures and sells cement and clinker products in north-eastern and eastern states of India It operates through Cement and Power segments. The company offers ordinary Portland, Portland pozzolana, Portland slag, and antirust cement products under the Star Cement brand it also generates power The company markets its products through a network of dealers and retailers. The company was formerly known as Cement Manufacturing Company Limited and changed its name to Star Cement Limited in June 2016. Star Cement Limited was incorporated in 2001 and is based in Kolkata, India Star Cement Limited is a subsidiary of Century Plyboards (India) Limited
The India	The India Cements Limited produces and sells cement and cement related products in india. It offers cement and allied products under the Sankar Super Power. Coromandel King, and Raasi Gold brands, as well as the Coromandel White and Coromandel Super brands, and ready mix concrete. The company also engages in the generation of power from windmills and thermal power plants, provision of ship hining services, and ownership and operation of coal mines, & exports its cement and clinker to various markets internationally. The company was incorporated in 1946 and is based in Chennai, India
Ultratech	UtraTech Cement Limited, together with its subsidiaries maraufactures, and sells coment and cement related products in India, it offers ondry Portland cement Portland blaal furnace slag cement, Portland Pozzzana cement ready mex concrete, white cement, and white comers based products, and ready-max concrete The company provides The Adesive polymer under TILEFIKO

DuPont Analysis

in INR Crores unless stated otherwise

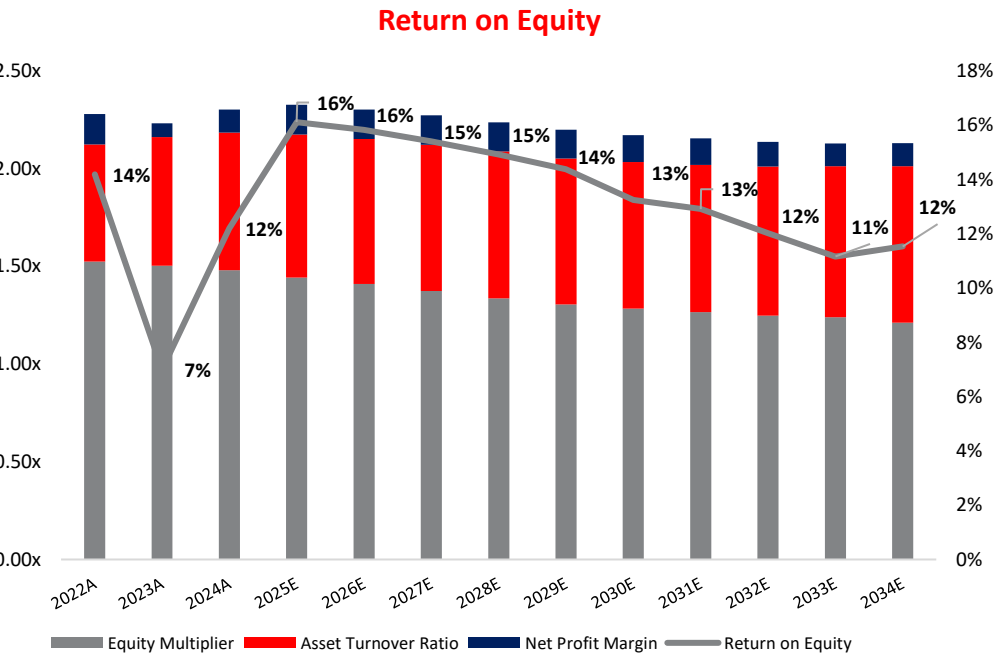
	Actuals			Explicit Forecast Period									
	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034
Return on Equity (ROE)													
Net Profit	2332	1263	2398	3550	3930	4301	4667	5001	5041	5316	5296	5183	5604
Average shareholder's Equity	16429	18048	19670	22034	24839	27926	31289	34789	38052	41159	44078	46438	48596
Return on Equity	14%	7%	12%	16%	16%	15%	15%	14%	13%	13%	12%	11%	12%
ROE - Dupont Equation													
Net Profit	2332	1263	2398	3550	3930	4301	4667	5001	5041	5316	5296	5183	5604
Revnue	15004	17847	20521	23230	25994	28749	31423	33937	36652	39218	41963	44481	47150
Net Profit Margin (A)	16%	7%	12%	15%	15%	15%	15%	15%	14%	14%	13%	12%	12%
Revnue	15004	17847	20521	23230	25994	28749	31423	33937	36652	39218	41963	44481	47150
Average Total Assets	25041	27141	29116	31802	35005	38342	41820	45385	48818	52106	55026	57598	58847
Asset Turnover Ratio (B)	0.60x	0.66x	0.70x	0.73x	0.74x	0.75x	0.75x	0.75x	0.75x	0.75x	0.76x	0.77x	0.80x
Average Total Assets	25041	27141	29116	31802	35005	38342	41820	45385	48818	52106	55026	57598	58847
Average shareholder's Equity	16429	18048	19670	22034	24839	27926	31289	34789	38052	41159	44078	46438	48596
Equity Multiplier (C)	1.52x	1.50x	1.48x	1.44x	1.41x	1.37x	1.34x	1.30x	1.28x	1.27x	1.25x	1.24x	1.21x
Return on Equity (A*B*C)	14%	7%	12%	16%	16%	15%	15%	14%	13%	13%	12%	11%	12%
Return on Assets (ROA)													
Net Profit	2332	1263	2398	3550	3930	4301	4667	5001	5041	5316	5296	5183	5604
Average Total Assets	25041	27141	29116	31802	35005	38342	41820	45385	48818	52106	55026	57598	58847
Return on Equity	9%	5%	8%	11%	11%	11%	11%	11%	10%	10%	10%	9%	10%
ROA - Dupont Equation													
Net Profit	2332	1263	2398	3550	3930	4301	4667	5001	5041	5316	5296	5183	5604
Revnue	15004	17847	20521	23230	25994	28749	31423	33937	36652	39218	41963	44481	47150
Net Profit Margin (A)	16%	7%	12%	15%	15%	15%	15%	15%	14%	14%	13%	12%	12%
Revnue	15004	17847	20521	23230	25994	28749	31423	33937	36652	39218	41963	44481	47150
Average Total Assets	25041	27141	29116	31802	35005	38342	41820	45385	48818	52106	55026	57598	58847
Asset Turnover Ratio (B)	0.60x	0.66x	0.70x	0.73x	0.74x	0.75x	0.75x	0.75x	0.75x	0.75x	0.76x	0.77x	0.80x
Return on Assets (A*B)	9%	5%	8%	11%	11%	11%	11%	11%	10%	10%	10%	9%	10%

DuPont Analysis

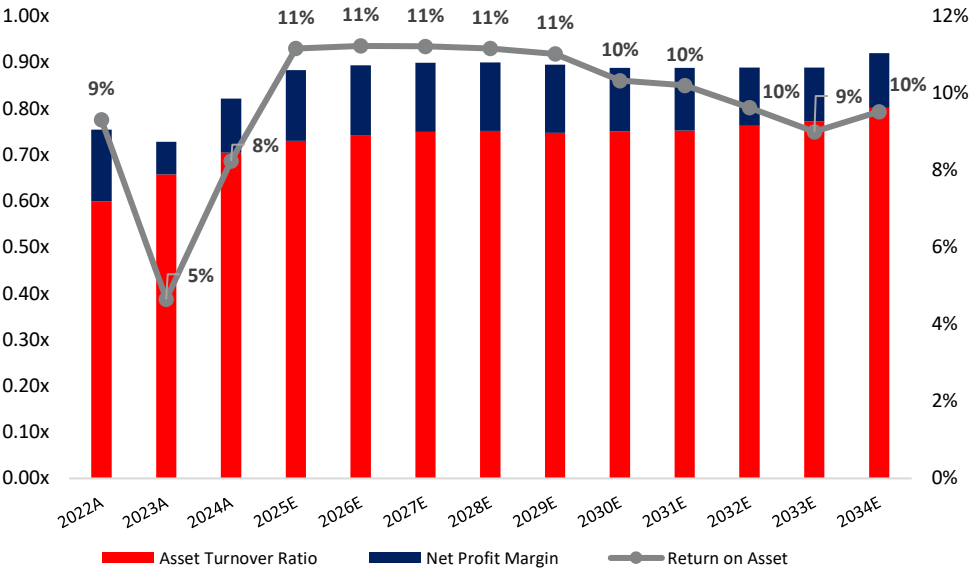
Return on Equity

Return on Equity indicates how effectively a company is using the capital invested by its shareholders to generate profits. ROE can be broken down into three key components using the DuPont Analysis, Net Margin, Asset Turnover Ratio and Equity Multiplier.

Our projections indicate that the company's net margin and asset turnover will remain stable within their historical ranges. However, as the company matures, a gradual reduction in the equity multiplier from 1.48x to 1.21x is expected, reflecting a shift to a more conservative capital structure. This will likely lead to a decrease in ROE from 12%-14% to 11%-13% over the forecast period. Despite this decline, the company is poised for sustainable growth, with reduced leverage enhancing its financial stability and resilience.



Return on Asset



Return on Asset

Return on Asset can be dissected into two key components: net margins and the asset turnover ratio. Variations in either of these factors will directly influence the ROA.

Historically, the company has maintained net margins between 12% and 15%, along with an asset turnover ratio ranging from 0.6x to 0.7x. the ROA has remained stable, consistently between within the 9% to 11% range.

Altman's Z-Score Analysis

in INR Crores unless stated otherwise

	Actuals				
	FY2020	FY2021	FY2022	FY2023	FY2024
Working Capital/Total Assets					
Working Capital	4519	4201	4449	4155	6780
Total Asset	19944	21512	23748	26333	27949
Working Capital/Total Assets	23%	20%	19%	16%	24%
Retained Earnings/Total Assets					
Retained Earnings	1143	2071	2007	903	2038
Total Asset	19944	21512	23748	26333	27949
Retained Earnings/Total Assets	6%	10%	8%	3%	7%
EBIT/Total Assets					
EBIT	1944	2815	2554	1286	2596
Total Asset	19944	21512	23748	26333	27949
EBIT/Total Assets	10%	13%	11%	5%	9%
Market Cap/Long-Term Liabilities					
Market Cap	63309	106313	86711	94484	92666
Long-Term Liabilities	2690	1621	1552	925	1053
Market Cap/Long-Term Liabilities	23.53x	65.59x	55.87x	102.15x	88.00x
Revenue/Total Asset					
Revenue	12866	13557	15004	17847	20521
Total Asset	19944	21512	23748	26333	27949
Revenue/Total Asset	0.65x	0.63x	0.63x	0.68x	0.73x
Altman's Z Score					
Z Score	15	41	35	62	54
Financial Stabilities	Strong	Strong	Strong	Strong	Strong

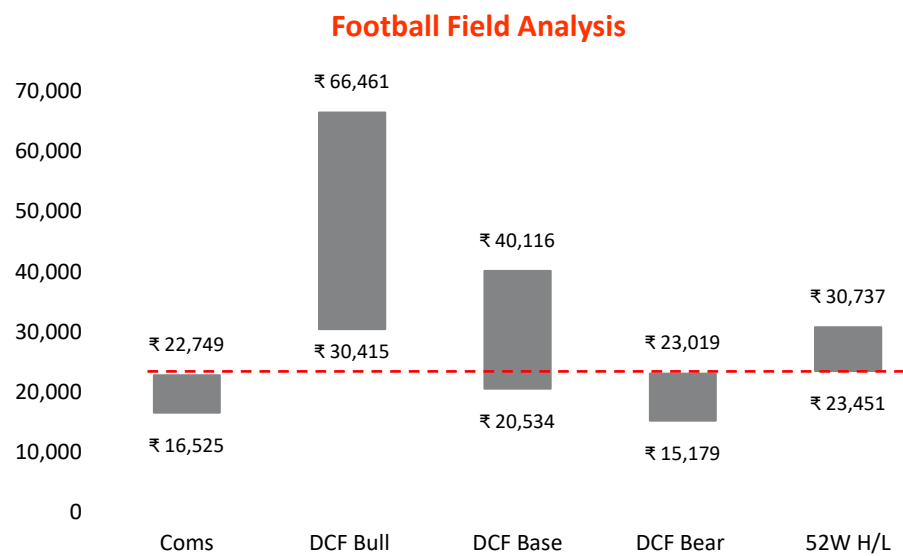
- Altman’s Z-Score is a metric which takes into account different aspects of a company's financials such as its retained earnings, EBIT, equity market value, sales, etc. in particular weights. The final output tells us about a company’s solvency strength and if the company is likely to go bankrupt over the next two years.
- Z - score above 3 signifies that the company is financially stable and is not expected to face solvency issues in near future. market cap of the company and revenue to total assets is constantly increasing, thereby boosting the Z-Score over the years.

Football Field Analysis

DCF Value

According to the DCF valuation approach, the intrinsic value of Shree cement shares varies significantly based on the discount rate applied. Under a bearish outlook, with a high discount rate of approximately 12%, the intrinsic value ranges between ₹15,179 and ₹20,534. In a neutral scenario, using a moderate discount rate of around 10%, the value lies between ₹20,534 and ₹40,116.

For a bullish outlook, with a low discount rate of roughly 8%, the share value is estimated to be between ₹30,415 and ₹66,461. These valuations are sensitive to the growth rate assumptions during both the explicit forecast period and the terminal period. With the current market price hovering around ₹24,835 as of July 2024, the analysis suggests that the company's shares are undervalued in a Bull and DCF scenarios.



Relative Value

According to the Relative Valuation approach, the intrinsic value of Shree cement shares is estimated at ₹16,525 based on the EV/Revenue multiple (~2.8x), ₹22,749 using the EV/EBITDA multiple (~18.0x), and ₹22,288 based on the P/E multiple (33.6x).

These multiples were derived as the median values from a group of seven companies in the cement sector, though they may fluctuate over time. With the current market price of the shares around ₹24,835 as of July 2024, the analysis suggests that the shares are fairly valued for the EV/EBITDA and P/E multiples used in the relative valuation approach.

Method & Case	Equity Value		Share Price	
	High	Low	High	Low
DCF Bull	₹ 66,461	₹ 30,415	₹ 66,461	₹ 30,415
DCF Base	₹ 40,116	₹ 20,534	₹ 40,116	₹ 20,534
DCF Bear	₹ 23,019	₹ 15,179	₹ 23,019	₹ 15,179
Relative-EV/Revenue	₹ 59,657		₹ 16,525	
Relative-EV/EBITDA	₹ 82,125		₹ 22,749	
Relative-P/E	₹ 80,458		₹ 22,288	
No.of Shares	3.61 Cr.			
Current Market Price	₹ 58580			

Valuation Summery

Valuation Method	Enterprice value	Equity value Available for Sharehodors	Value per share	Market Price	Discount/ Premium	Discount/ Premium%
Discounted Cashflow- Perpetuity Growth	90213	91450.8	25333	25580	247	1.0%
Discounted Cashflow- Exit Multiple	103206	104444.1	28932	25580	(3,352)	-13.1%
Relative Valuation -EV/Sales	58419	59656.9	16525	25580	9055	35.4%
Relative Valuation -EV/EBITDA	80887	82125.0	22749	25580	2831	11.1%
Relative Valuation - P/E	-	80458.0	22288	25580	3292	12.9%

Analysis

According to DCF Valuation perpetuity growth method share is trading at a premium of INR 247 and exit multiple share trade discounted INR 3352 respectively. However, according to relative valuation the share is trading at a premium of all the multiples EV/Sales, EV/EBITDA and P/E INR 9055, 2831 and 3292 respectively.

Analysis Considering DCF Valuation for Perpetual Growth

The DCF valuation indicates that the share is neutral, with a premium of INR 247, meaning it's neither overvalued nor undervalued. This is due to several key factors:

- **Market Share and Growth:** The company focuses on increasing market share, aiming for 80 MTPA capacity by 2030, and optimizing costs, making it the lowest-cost cement producer in India.
- **Cost Efficiency:** Its efficient use of fuel and reliance on renewable energy (80-85%) ensure stable cash flows.
- **Industry Demand:** India's cement sector is booming, driven by infrastructure growth, but there are risks of overcapacity due to competition.
- **Perpetual Growth:** The DCF model assumes moderate long-term growth, balancing potential risks and opportunities.

Acknowledgement

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I would like to sincerely thank **Parth Verma** for his invaluable guidance and support. His insights have greatly deepened my understanding of valuation techniques.

Special thanks to **The Valuation School** for the rewarding experience provided through the Advanced Valuation and Financial Modeling (AVFM) cohort, which has been crucial to my development in this field.

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